



NYADI HYDROPOWER LIMITED

Buddha Nagar, Kathmandu, Nepal

UNAUDITED STATEMENT OF FINANCIAL POSITION

AS ON ASHWIN 31, 2082

Figures in NPR '000

Particulars	This Quarter Ending (Ashwin End 2082)	Previous Quarter Ending (Ashad End 2082)	Corresponding Previous Year Quarter Ending (Ashwin End 2081)
ASSETS			
Non-Current Assets			
Property, Plant and Equipment	13,527	13,782	6,503
Intangible Assets	5,489,674	5,547,281	5,714,516
Other Non Current Assets	386	307	119
Total Non-Current Assets	5,503,587	5,561,370	5,721,138
Current Assets			
Cash and Cash Equivalents	24,938	11,864	35,156
Bank Balance Other than Cash and Cash Equivalents	794	14,102	974
Other Financial Assets	111,859	119,177	143,714
Other Current Assets	20,547	31,137	13,574
Total Current Assets	158,138	176,280	193,418
Total Assets	5,661,725	5,737,650	5,914,556
EQUITY AND LIABILITIES			
Equity			
Equity Share Capital	1,500,000	1,500,000	1,500,000
Advance for share capital	150,000	150,000	150,000
Other Equity	(637,599)	(629,153)	(543,372)
Total Equity	1,012,401	1,020,847	1,106,628
Liabilities			
Non-Current Liabilities			
Borrowings	4,281,711	4,347,596	4,480,008
Other Financial Liabilities	127,824	127,868	126,781
Provisions	2,655	2,199	2,539
Total Non-Current Liabilities	4,412,190	4,477,663	4,609,328
Current Liabilities			
Borrowings	100,000	100,000	100,000
Trade Payables	17	2,423	864
Provisions	50,143	45,920	60,721
Other Financial Liabilities	-	-	-
Other Current Liabilities	86,974	90,797	37,015
Total Current Liabilities	237,134	239,140	198,600
Total Liabilities	4,649,324	4,716,803	4,807,928
Total Equity and Liabilities	5,661,725	5,737,650	5,914,556

UNAUDITED STATEMENT OF PROFIT & LOSS AND OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED ASHWIN 31, 2082

Figures in NPR '000

Particulars	This Quarter Ending (Ashad End 2082)	Previous Quarter Ending (Chaitra End 2081)	Corresponding Previous Year Quarter Ending (Ashad End 2081)
Revenue from Operations	170,399	646,688	211,904
Project Operating Expenses	(74,779)	(281,233)	(69,076)
Gross profit	95,620	365,455	142,828
Other Income	-	689	28
Administrative and Other Operating Expenses	(7,911)	(39,675)	(8,216)
Net Operating Profit	87,710	326,469	134,640
Finance Cost	(95,736)	(421,412)	(142,443)
Finance Income	329	1,587	228
Profit / (Loss) before Tax & Bonus	(7,697)	(93,356)	(7,575)
Provision for Staff Bonus	-	-	-
Provision for Reserves	-	-	-
Profit / (Loss) before Tax	(7,697)	(93,356)	(7,575)
Income Tax Expense	-	-	-
Net Profit for the year	(7,697)	(93,356)	(7,575)
Other Comprehensive Income	-	-	-
Total Comprehensive Gain/(Loss), Net of Tax	(7,697)	(93,356)	(7,575)

FIRST QUARTER DISCLOSURE AS OF ASHWIN 31, 2082 AS PER SECURITIES REGISTRATION AND ISSUANCE REGULATION Annexure -14 (Related to Sub-Regulation 1 of Regulation 26)

1 FINANCIAL STATEMENTS

- The Unaudited Financial Statements for the first quarter and key financial ratios have been published along with this report.
- Transactions with related parties: Business Transactions were conducted with related parties at arm's length in line with section 93(3c) of the Company Act, 2063. NHL has been availing promoter's loan and rental and other associated facilities from Butwal Power Company Limited and using various consultancy service as an when needed from Hydro Consult Engineering Ltd.
- Key Financial Indicators

Period	Earning per share	Net Worth Per Share	Current Ratio	Price Earning Ratio	Return on Assets
This Quarter End	(0.51)	67.49	0.67	(176.94)	-0.14%
Previous Quarter End	(6.22)	68.06	0.74	(73.12)	-1.63%
Corresponding Previous Year Quarter End	(0.51)	73.78	0.55	(160.39)	-0.13%

2 MANAGEMENT ANALYSIS

- "Any changes in the Stock, Income and Liquidity during the quarter and the reason for change, if any": Stock/spare parts of the power plants equipments has been maintained at a sufficient level as provided by the Contractor as per the terms of the EPC Contract. Finance cost on Term Loan of the project do have serious impact on the company's profitability as it covers a majority portion of company's expense. Similarly, amortization of Intangible Assets during the period also affects the profitability of the company.
- "Statement of Management Analysis on the Company's upcoming Business Plans": The Company has not any such plan for other project developments other than for effective/efficient operation of the project rather than lobbying for the construction of 132 kV Tarikuna substation and reversal of "Take and Pay" clause to "Take or Pay" with Nepal Electricity Authority.
- "Analytical Statement on the possible effect on Company's Profitability, Stock and Cash Flows based on the past experience.": Due to the contingency plan with NEA i.e. Sale of energy on "Take and Pay Basis", NEA has not taken full generation of the project during the last quarter and the company has to abide with the dispatch instruction from Load Dispatch Centre, NEA. This has made a serious impact on current financial year's profitability.

3 LEGAL PROCEEDINGS

- Case filed by or filed against the Company during the quarter, if any: None
- Case filed by or filed against the Company or its Promoter or Director for violation of the prevailing regulation or committing the criminal offense, if any: None
- Case filed against the Promoter or Director on Financial crime, if any: None

4 ANALYSIS OF COMPANY'S SHARE TRANSACTIONS

- NHL shares were actively traded during this quarter.
- The major highlights of share transactions during the quarter are as follows:
- Maximum Price - NPR 487.50 ; Minimum Price - NPR 362.60 ; Closing Price - NPR 363.20 ; No. of Transaction Days - 51 ; Total Transactions - 8,635 ; Total Traded Volume - 1,084,476 and Total Traded Value- NPR. 481,797,663.20

5 PROBLEMS AND CHALLENGES

- Internal**
 - Optimization and Retention of skilled human resources;
 - Fund Management problem due to liquidity problem in financial market resulting increase in finance cost
 - Managing the operational efficiency of the project
- External**
 - Impact of Global Warming and Climate change effects and the amount of rain/snow fall in the project catchment area.
 - Foreign Exchange Risk exposures in payment to contractors due to fluctuation of currency in the International Foreign Exchange Markets;
 - Delay in construction of Tarikuna Substation & 132 kV Transmission Line by Nepal Electricity Authority and the financial impact to project due to Line loss and Generation loss for the evacuation of energy generated from the project as per the Contingency plan with NEA.

- Strategies**
 - To maximize generation of powerplant with at least maintaining the contract energy of Power Purchase Agreement.
 - To operate the powerplant efficiently and effectively.

6 CORPORATE GOVERNANCE

Board of Directors, Project Steering Committee, Audit Committee, Other Committees and Management Team are committed towards strengthening good corporate governance within the company. NHL has written manual, policies, rules & guidelines for proper functioning of the operation of the company.

7 DECLARATION OF CHIEF EXECUTIVE OFFICER ON TRUTH, TACTFULNESS

I, the Chief Executive Officer of this Company, take the responsibility of accuracy of the information and details mentioned in this report for the first quarter of FY 2082/83, hereby declare that the information and details provided in this Report are true, based on facts, and complete to the best of my knowledge and that information necessary for taking informed decision by the investors are not concealed.